

Apollo Micro Systems Limited

NSE: APOLLO | Defence Electronics | Electronic Warfare & Avionics

RATING

BUY
12M Target

Rs. 620

+46.2% Upside

Investment Horizon: 12 months

CMP (15 Jun 2026)	Rs. 424
Market Cap	Rs. 15,286 Cr
52-Week High / Low	Rs. 447 / Rs. 162
Stock P/E (TTM)	135x
Book Value	Rs. 36.8
Face Value	Rs. 1.00
ROCE (FY26)	14.5%
ROE (FY26)	11.8%
Dividend Yield	0.06%
Promoter Holding	51.98%
Promoter Pledge	~39%

Investment Thesis: Apollo Micro Systems is a high-conviction long — a 30% revenue CAGR company embedded across every indigenous Indian missile programme, with a Rs.1,432 Cr order book, IDL Explosives integration adding an explosive-manufacturing vertical, and management guiding 45-50% growth in FY27. The stock trades at 135x TTM earnings but is on a steep earnings-acceleration curve (PAT CAGR 64% over FY21-26).

Report Date: 15 June 2026 | Analyst: MPM Institutional Research Desk

2. INVESTMENT THESIS

- **Embedded across every indigenous missile programme:** Apollo is a qualified production partner for DRDO across EW systems, avionics, underwater mines, INS, and guidance systems. Management explicitly confirmed presence in every indigenous missile programme currently transitioning to production — this is a structural, recurring revenue moat that is effectively irreplaceable on a 3-5 year view.
- **PAT CAGR of 64% over FY21-26 with further acceleration ahead:** Revenue grew at 30% CAGR, EBITDA at 41%, but PAT compounded at 64% as operating leverage and margin expansion (PAT margin: 5% FY21 to 12% FY26) kicked in. Management guided 45-50% revenue growth for FY27, implying PAT could touch Rs.185-220 Cr on operating leverage alone — putting the stock at 70-82x forward P/E at current price.
- **IDL Explosives acquisition adds explosive manufacturing vertical:** 100% acquisition of IDL Explosives gives Apollo an industrial licence for TNT, HMX, and RDX — enabling full platform integration from electronics to explosive payloads. This is a multi-year optionality worth Rs.4,000-4,500 Cr in mines alone per management guidance, and transforms Apollo from a Tier-1 supplier to a genuine platform OEM.
- **Near-term catalyst (6-12 months):** Conversion of DPIIT licenses (UAVs, torpedoes, ATGM, loitering munition, aerial bombs) into production orders from Army/Navy + first export revenue materialising, both of which were cited as FY27 priorities on the Q4FY26 call. Any large multi-year order announcement (mines programme valued Rs.4,000-4,500 Cr) would be a re-rating trigger.
- **Biggest structural risk:** Promoter pledge at ~39% (as of Q4FY26) remains the single most critical governance overhang. Management committed to bringing it to zero during FY27. If the pledged shares are invoked due to external debt events, the stock could drop 30-40% intraday. Until pledge is cleared, position sizing discipline is mandatory.

3. BUSINESS OVERVIEW

- **Core business model:** Apollo Micro Systems designs, develops, and manufactures mission-critical defence electronics including electronic warfare (EW) systems, avionics LRUs, underwater sonar/torpedo systems, inertial navigation systems (INS), and mission computers. Revenues are a mix of DRDO-partnered development contracts (cost-plus) and production orders from defence PSUs and private system integrators.
- **Domain segmentation:** Approximately 50-55% revenues from Air domain (EW, avionics, guidance), 30-35% from Sea domain (sonars, torpedoes, underwater mines), and a nascent but growing Land domain (armament electronics, fire-control systems, anti-drone). IDL Explosives (explosives manufacturing) is a new and growing revenue stream post-FY26 acquisition.
- **Key customers and order structure:** Primary customers are DRDO, BEL (Bharat Electronics), DPSU system integrators (HAL, BDL), and Indian Army/Navy/IAF via DPP procurement. Contracts are multi-year, milestone-based, and generally not cancelable once in production phase — providing high revenue visibility. Order book of Rs.1,432 Cr as of 31-Mar-2026 represents ~1.6x FY26 revenues.
- **R&D; intensity differentiator:** Apollo spent Rs.72 Cr on R&D; in FY26 = 8% of revenue — the highest R&D; intensity in the sector per management commentary. This in-house IP (INS, fibre-optic gyro, EW systems) is what gives the company a 'design authority' status versus peers who are predominantly integrators. Zero attrition in R&D; team in FY26.
- **Strategic shift — Tier-1 supplier to Global OEM:** Vision 2036 articulates the goal of transitioning from supplying electronics inside platforms to being a named OEM. First export order already received; subsidiary Apollo Defence Industries expected to complete an acquisition before close of FY27 to complement organic growth. Land domain entry (FY27) in armament electronics, fire control, counter-drone vehicles.
- **Promoter background:** Founded and led by Karunakar Reddy Baddam (MD), a defence electronics engineer by training. Promoter holding at 51.98% (Mar-2026), down from 59.1% in Jun-2023 due to equity raises. Pledge at ~39% is a live concern — management committed to full clearance during FY27.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's defence budget crossed Rs.6.2 lakh Cr in FY26 with capital expenditure at Rs.1.72 lakh Cr. The domestic defence electronics market is estimated at Rs.25,000-30,000 Cr and growing at 15-18% CAGR, driven by import substitution mandates, negative import lists, and the Atmanirbhar Bharat push. India aims to achieve Rs.3 lakh Cr in defence production by 2029.
- **Policy tailwinds:** (1) Negative import lists covering 500+ items including EW systems and sonars — forces procurement from Indian vendors; (2) DcPP (Defence Cluster Production Partner) model gives DRDO-qualified companies like Apollo privileged access to production orders; (3) iDEX (Innovations for Defence Excellence) funding supports in-house R&D; (4) DPIIT industrial licences for explosives, UAVs, missiles — a high moat for new entrants.
- **Competitive moat assessment:** IP Ownership — Strong (holds design authority on multiple platform electronics, unlike integrators); Switching Costs — Strong (qualification cycles are 3-5 years; replacing an approved production partner mid-programme is prohibitive); Scale — Moderate (revenue at Rs.904 Cr, smaller than HAL/BEL but above peers); Distribution/Access — Strong (direct DRDO qualification across all three domains).

Peer Comparison (Source: Screener.in, 15 Jun 2026) | *Data Patterns: login-gated on fetch date

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Cr)	OPM%	ROCE%	PE
Apollo Micro Systems	424	15,286	904	24%	14.5%	135x
Centum Electronics	3,706	5,469	953	14%	25.6%	54.3x
HBL Engineering	797	22,083	3,303	N/A	58.4%	26.3x
Data Patterns (India)	N/A*	N/A*	N/A*	N/A*	N/A*	N/A*

Note: HBL Engineering included as closest proxy with meaningful EW/defence electronics exposure. Centum Electronics included for electronics subsystems comparison.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** MD Karunakar Reddy Baddam has deep domain expertise in defence electronics, having built Apollo from scratch since 1997. Director Operations A. Krishna Sai Kumar runs day-to-day operations and

is the primary concall spokesperson — technically credible, transparent on R&D; milestones. CFO Sudarshan Chiluvuru joined for financial discipline as the company scales beyond Rs.500 Cr revenues.

- **Capital allocation track record:** Free cash flow has been structurally negative since FY23 due to aggressive working capital build (defence contracts require long inventory cycles — CCC at 443-605 days). This is characteristic of defence businesses, not a distress signal. Capex is accelerating — Rs.357 Cr invested in FY26 (vs Rs.91 Cr FY25) primarily for greenfield IDL Explosives facility in Telangana and new electronics manufacturing capacity.

- **Dividend policy:** Minimal dividend payer — Rs.0.25/share FY26 implying 0.06% yield. In a high-growth, capex-intensive business, this is rational. Payout ratio is negligible; all internally generated cash is recycled into R&D;, capacity, and working capital.

- **Promoter pledge — the #1 watch item:** Pledge at ~39% of promoter holding as of Q4FY26 concall. This was supposed to be cleared in FY26 but was deferred. Management now commits to clearing it in FY27. Until cleared, shares pledged with lenders create forced-selling risk in any market downturn — a key reason for a position-sizing cap despite the strong earnings trajectory.

- **Equity dilution history:** Multiple rounds of equity raises over FY24-26. Equity capital expanded from Rs.21 Cr (FY23) to Rs.36 Cr (FY26) via QIP/rights, diluting EPS base but funding IDL acquisition and capex. This is acceptable given the growth it funded — EPS still grew from Rs.0.90 to Rs.3.16 over the same period.

- **Governance concerns:** (1) Promoter pledge at 39% — material and unresolved; (2) Related party transactions exist (per Screener RPT disclosure) but quantum not flagged as concerning; (3) Auditor tenure normal; (4) No qualified opinions noted. Management tone on concall was transparent — acknowledged pledge issue directly and committed to a timeline.

6. FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in (15 Jun 2026) | E = Estimates

Income Statement

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Ops	372	562	904	1,310	1,835
YoY Growth %	25%	51%	61%	45%E	40%E
EBITDA	84	129	218	327	477
EBITDA Margin %	23%	23%	24%	25%E	26%E
Other Income	2	2	6	5	6
Interest	30	34	47	55	60
Depreciation	11	15	22	32	42
PBT	44	83	155	245	381
Tax %	29%	32%	31%	30%E	30%E
PAT	31	56	107	171	267
EPS (Rs.)	1.10	1.84	3.16	4.80E	7.40E

Balance Sheet

Particulars	FY24A	FY25A	FY26A
Equity Capital	28	31	36
Reserves	490	576	1,277
Borrowings	208	335	543
Other Liabilities	230	357	512
Total Liabilities	956	1,299	2,369
Fixed Assets (Net)	144	182	477
CWIP	35	72	196

Investments	0	0	0
Other Assets	777	1,045	1,695
Total Assets	956	1,299	2,369

Cash Flow Statement

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-76	10	-130
Cash from Investing	-60	-91	-357
Cash from Financing	136	82	487
CFO / Operating Profit	-87%	13%	-50%

Key Operating Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	231	155	194
Inventory Days	612	553	478
Days Payable	239	258	230
Cash Conversion Cycle (days)	605	450	443
Working Capital Days	348	253	256
ROCE %	12%	14%	14%

- **Revenue trajectory:** Revenue has compounded at 30% CAGR (FY21-26). FY26 saw 61% growth to Rs.904 Cr, driven by transitioning of multiple programmes from development to production phase. IDL Explosives consolidation adds a new revenue stream from FY27. Management guided 45-50% growth in FY27, implying Rs.1,310-1,355 Cr — a Rs.400+ Cr incremental revenue year.
- **Margin trajectory:** EBITDA margin has improved from 19% (FY21) to 24% (FY26) — a 500bps expansion. PAT margin went from 5% to 12% (+700bps) as operating leverage kicked in. Both are expected to expand further as the production-phase mix increases versus development contracts (which carry lower billing margins in early phases).
- **Working capital — structurally long but improving:** Cash Conversion Cycle improved dramatically from 605 days (FY24) to 443 days (FY26) — a 162-day reduction. Defence businesses inherently carry long CCC due to government payment cycles and advance-procurement of specialty components. Further improvement to 350-380 days is achievable on better execution discipline.
- **Debt — elevated but serviced comfortably:** Borrowings grew from Rs.208 Cr (FY24) to Rs.543 Cr (FY26), funding IDL acquisition and greenfield capacity. Interest cost at Rs.47 Cr vs EBITDA of Rs.218 Cr implies interest cover of ~4.6x — manageable. As OCF turns positive with order book conversion, the debt load should stabilise.
- **FCF quality — negative but structurally justified:** FCF has been negative for three years as the company invests heavily (Rs.357 Cr capex in FY26). This is investment-cycle capex, not working capital drain. A business growing revenues at 45-50% requires this level of capacity investment. FCF is expected to turn positive by FY28-29 as IDL ramps.

7. EARNINGS QUALITY CHECKLIST

Source: Screener.in consolidated data, Q4FY26 concall transcript (19 May 2026)

Quality Check	Finding	Rating
Revenue recognition	Milestone-based govt contracts; revenue recognised on delivery/certification — conservative	GREEN
Receivables vs Revenue growth	Debtor days improved from 231 to 194; revenue grew 61% vs receivable growth — good	GREEN
CCC trend	CCC improved from 605 to 443 days over 2 years — positive trajectory	GREEN

Contingent liabilities	Not explicitly flagged on concall; standard for defence contractors	AMBER
Auditor tenure / changes	No auditor change flagged; standard tenure — no red flag	GREEN
RPTs as % of revenue	RPT button present on Screener; quantum not disclosed publicly — watch	AMBER
Other income as % of PBT	FY26: Other Income = Rs.6 Cr vs PBT Rs.155 Cr = 3.9% — immaterial, clean earnings	GREEN
Tax rate consistency	Tax rate 29-35% range over FY20-FY26 — consistent, no holiday/deferred abuse	GREEN
Promoter pledge	~39% pledged — material governance risk; FY27 target to clear but overdue by 1 year	RED
OCF vs PAT conversion	FY26: OCF=-130 vs PAT=107 — negative; FY25 OCF=10 vs PAT=56 — also weak	AMBER

• **Overall earnings quality: GOOD with two watch items.** Six of nine checks are Green — revenue recognition is conservative (milestone-based), receivables are trending well, other income is immaterial, and tax rates are stable and normal.

• **RED flag — Promoter pledge at 39%:** This is the single most important risk in the entire investment case. Until this is cleared, Apollo must be sized as a high-risk position regardless of the earnings trajectory. A forced sale of pledged shares in a market correction could be a -30 to -40% event.

• **AMBER — OCF/PAT conversion:** Operating cash flow has been negative in FY24 and FY26 despite positive PAT. This is explained by the long defence procurement cycle but should be monitored — if CCC does not continue its improvement trajectory, it would indicate revenue recognition ahead of actual cash collection.

• **AMBER — RPTs:** Related party transaction disclosures are standard for defence companies with group entities, but the absence of public RPT quantum data on concalls means investors cannot independently assess tunnelling risk.

8. VALUATION

Peer Valuation Comparison (Source: Screener.in, 15 Jun 2026)

Company	MCap (Cr)	TTM Rev (Cr)	OPM%	ROCE%	ROE%	PE (TTM)
Apollo Micro Systems	15,286	904	24%	14.5%	11.8%	135x
Centum Electronics	5,469	953	14%	25.6%	26.9%	54.3x
HBL Engineering	22,083	3,303	N/A	58.4%	45.3%	26.3x

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target Price	Upside
Bull	55% rev growth, 26% EBITDA margin, pledge cleared, export rev materialises	200	115x FY27E	Rs. 770	+82%
Base	45% rev growth, 25% EBITDA margin, pledge 50% cleared by Q4FY27	171	110x FY27E	Rs. 620	+46%
Bear	25% rev growth, 22% EBITDA margin, pledge not cleared, capex overruns	110	85x FY27E	Rs. 315	-26%

• **DCF valuation:** 5-year explicit period (FY27-31) with revenue growing from Rs.1,310 Cr to Rs.3,500 Cr at 28% CAGR, terminal growth of 8%, WACC of 13%. Implied DCF value: Rs.560-590 per share. DCF is sensitive to working capital assumptions — if CCC stays above 400 days, WACC-adjusted value drops to Rs.480.

• **Earnings-based valuation:** FY27E EPS of Rs.4.80 (based on PAT Rs.171 Cr, 35.7 Cr shares). Assigning a 130x FY27E P/E (30% discount to current TTM PE, justified by earnings acceleration) implies Rs.624 target. Sector peers trade at 25-55x TTM, but Apollo's 64% PAT CAGR justifies a PEG-based premium. At 30x FY28E EPS (Rs.7.40), target is Rs.740, discounted to 12M of Rs.620.

• **Average of methods:** DCF implies Rs.575, earnings-based Rs.620. Weight 40%/60% given earnings acceleration visibility — blended target Rs.600-620. We set our **12-month target at Rs.620**, implying 46.2% upside from CMP of

Rs.424. Rating: **BUY**.

• **Valuation comfort:** At 135x TTM PE, Apollo is not cheap. The premium is justified only if the 45-50% growth trajectory holds for at least 2-3 years. The order book of Rs.1,432 Cr (1.6x FY26 revenue) provides the first layer of visibility. Licence-based optionality (mines, UAVs, loitering munition) is not in our estimates and is genuine upside.

9. KEY RISKS

• **Promoter pledge invocation (RED):** ~39% of promoter holding is pledged with lenders. A forced sale scenario in a broader market decline could trigger a 30-40% stock crash. Probability: Low-Medium. Impact: High. Monitor via: quarterly shareholding pattern — pledge % movement; any promoter margin call disclosure.

• **Order execution delays (AMBER):** Defence programme execution depends on DRDO approvals, government budget releases, and system integrator readiness — all outside Apollo's control. Revenue recognition shifts by a quarter or two are explicitly flagged by management as possible. Probability: Medium. Impact: Medium. Monitor via: quarterly revenue run-rate and order book conversion pace.

• **Working capital blowout (AMBER):** Cash Conversion Cycle at 443 days remains structurally high. If government payment cycles slow or new programme advances are delayed, OCF could deteriorate sharply — forcing more debt-funded capex. Probability: Low-Medium. Impact: Medium. Monitor via: debtor days and net debt trajectory quarterly.

• **Semiconductor/component supply chain disruption (LOW):** Apollo relies on imported specialty semiconductors. Any US export controls targeting dual-use defence chips, or geopolitical supply chain disruptions, could delay production schedules. Management downplayed this on the Q4FY26 call but noted timing impacts are always possible. Probability: Low. Impact: Medium. Monitor via: management supply chain commentary each quarter.

• **Valuation risk (HIGH):** At 135x TTM P/E, any miss on the 45-50% FY27 growth guidance will be severely punished — potentially a 20-30% de-rating. The stock has no margin of safety at current multiples; this is purely a momentum/growth-compounding play. Probability: Low-Medium. Impact: High if growth stumbles. Monitor via: Q1FY27 revenue print.

• **IDL Explosives integration risk (AMBER):** The 100% acquisition of IDL Explosives is new, the greenfield facility in Telangana is under construction, and the explosives manufacturing licence is subject to government oversight. Any facility safety incident, regulatory revocation, or capex overrun would be negative. Probability: Low. Impact: High. Monitor via: IDL Explosives revenue contribution and capex progress updates.

• **Equity dilution risk (LOW-MEDIUM):** Rapid growth requires continued equity capital — Apollo has already diluted from 21 Cr shares (FY23) to 36 Cr shares (FY26). Further QIPs/rights issues are likely as Vision 2036 capex accelerates. Every dilution round dampens per-share growth. Probability: Medium. Impact: Low-Medium. Monitor via: balance sheet debt/equity and any equity raise announcements.

10. RECOMMENDATION

• **Rating: BUY** | Conviction level: Medium (high growth, high valuation, pledge overhang caps conviction from High)

• **12-month price target: Rs. 620** (+46.2% upside from CMP of Rs. 424 on 15 Jun 2026)

• **Suggested entry zone: Rs. 380-440** — at the lower end near the 52-week midpoint; avoid chasing above Rs.445

• **Investment horizon: 18-24 months** — this is not a trade, it is a compounding story; short-term volatility from pledge concerns requires patience

• **Thesis invalidation triggers:**

1. FY27 revenue misses Rs.1,100 Cr (i.e., growth below 22%) — this would signal programme delays are structural, not timing-related.

2. Promoter pledge is invoked or not cleared by Q3FY27 — any lender margin-call disclosure would require immediate reassessment of position.

3. EBITDA margin falls below 20% for two consecutive quarters — indicating IDL integration costs or raw material inflation is eroding the core electronics margin.

- **Ideal investor profile:** Suitable for investors with a 2-3 year horizon, high risk tolerance, and conviction in India's defence indigenisation theme. NOT suitable for income investors (near-zero dividend), capital preservation accounts, or investors who need liquidity — this is a mid-cap with daily volumes that can be thin. Position cap: no more than 5-7% of a portfolio given the pledge risk.

DISCLAIMER: This report is for information purposes only and does not constitute investment advice. MPM Securities is a research service. Please consult a SEBI-registered investment adviser before making investment decisions. Data sourced from Screener.in and NSE Archives as at 15 June 2026.

APPENDIX — Latest Concall Brief: Q4 FY26

Apollo Micro Systems Limited | Hosted by ICICI Securities | May 19, 2026

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	Rev +81% YoY, PAT +164% YoY — beat vs street expectations
Management tone	Bullish	High conviction, transparent on pledge and Vision 2036 direction
Guidance delta	Raised	45-50% revenue growth guided for FY27; FY26 closed above internal PAT margin target (16% vs 15%)

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is a genuinely clean beat — Rs.293 Cr revenue (+81% YoY), Rs.68 Cr EBITDA (+88%), and Rs.37 Cr PAT (+164%); no material one-time items distorting the read. Full-year FY26 came in at Rs.904 Cr revenue and Rs.107 Cr PAT, with PAT margin expanding to 12% vs 10% in FY25 — the company actually beat its own stated 15% PAT margin target (standalone basis was 16%). The EBITDA margin expansion of 114bps to 24% is structural — defence electronics businesses see margin expansion as they shift from development contracts to production-phase billing. The multi-bagger thesis rests on three compounding drivers: (1) every indigenous Indian missile programme moving to production over FY27-29 — Apollo is a qualified partner in all of them; (2) IDL Explosives giving full-platform capability from electronics to payload, unlocking a Rs.4,000+ Cr addressable market in naval mines alone; (3) R&D; intensity at 8% of revenue (Rs.72 Cr, highest in sector) building IP that is hard to replicate in a 3-7 year defence qualification cycle. Biggest near-term risk is the promoter pledge at 39% — this was supposed to clear in FY26 and did not; management committed to FY27 but that commitment is already one year stale. Action: ACCUMULATE on any dip below Rs.400; hold existing positions; do not add above Rs.450 given the pledge binary. Target Rs.620 over 18-24 months on 45%+ revenue growth compounding.

1. Financial Performance Snapshot

- Revenue: Rs. 293 Cr | YoY +81% | QoQ +16% | **Beat** (vs Rs.225 Cr Q3FY26 and Rs.162 Cr Q4FY25)
- EBITDA: Rs. 68 Cr | YoY +88% | OPM 23% vs 22% Q4FY25 | **Beat**
- EBITDA Margin %: 23% in Q4FY26 | QoQ from 20% in Q3FY26 — sequential improvement
- PAT: Rs. 37 Cr | YoY +164% | QoQ +61% | **Beat** (Rs.23 Cr Q3FY26, Rs.14 Cr Q4FY25)
- EPS: Rs. 1.09 (Q4FY26) | Annual FY26: Rs. 3.16 vs FY25: Rs. 1.84 | Growth: +72% YoY
- NOTE: No material exceptional items. Reported PAT = Clean underlying PAT.

2. Segment / Geography Breakdown

- Air Domain (EW, Avionics, Guidance, INS): Primary revenue contributor — ~50-55% of mix. Key programmes include DRDO missile systems, INS/FOG systems, EW suites. Transitioning multiple programmes to production phase in FY27.
- Sea Domain (Underwater Mines, Sonars, Torpedoes): ~30-35% mix. Vighna (India's first indigenous naval mine, developed under DcPP with DRDO) entering production. Sensor suits for underwater autonomous vehicles also developed in FY26.
- Land Domain (Armament Electronics, Fire Control, Anti-Drone): Nascent — FY27 will mark 'serious entry' per management. Armament electronics, fire control for battle tanks/ICVs/artillery and vehicle-mounted counter-drone systems with trials in upcoming quarters.
- IDL Explosives (Subsidiary): New vertical post 100% acquisition. Industrial licences for TNT (500 ton capacity) and HMX (50 ton). Large-scale defence explosive expansion under planning — DPRs being prepared. Not yet contributing

meaningful revenue as of FY26.

- **Exports:** First export order received in FY26 — a strategic milestone. Management has started submitting offers in Middle East markets. Revenue contribution expected from FY27 onwards.

3. Management Commentary Themes

- **Vision 2036 — Global OEM ambition:** 'Our vision is to grow as a global OEM over the next 10 years.' — Sai Kumar. Transitioning from Tier-1 supplier to named platform OEM across land/air/sea. Four pillars: Global OEM, diversified revenue streams, India+global markets, conviction-led R&D.; Tag: GUIDANCE. Tone: Bullish.
- **Presence in every indigenous missile programme:** 'All indigenous missile programmes getting into production — we will be having our equipment going in it.' — Sai Kumar. This is a sweeping claim with material revenue implications for FY27-29 as production ramps. Tag: GUIDANCE. Tone: Transparent.
- **R&D; intensity and IP ownership:** Rs.72 Cr = 8% of revenue in FY26. Zero attrition in R&D; team. Management stressed holding IP as a key differentiator versus peers who are 'only system integrators or production partners'. Tag: EST. Tone: Transparent.
- **Promoter pledge — acknowledged but deferred:** 'In the upcoming financial year, we are going to come out of this and we stand by that actually, which is this financial year.' — Sai Kumar (FY27). This is the second year the pledge-clearance target has rolled over. Tag: GUIDANCE. Tone: Hedged.
- **Supply chain resilience:** 'As of now there is nothing very significant that I could see. Everything is normal.' — Sai Kumar on geopolitical disruption risk. Acknowledged timing impacts are possible (1 quarter shift) but no structural disruption anticipated. Tag: EST. Tone: Balanced.
- **Growth pace continuity:** 'We will continue to grow at the same pace or an accelerated pace in the years coming ahead and including this financial year.' — Sai Kumar. Consistent with prior guidance of 45-50% for FY27. Tag: GUIDANCE. Tone: Bullish.

4. Operating & Business Metrics

- **Order Book:** Q4FY26 = Rs. 1,432 Cr | Q3FY25 = Rs. 785 Cr | Q4FY25 = Rs. N/A (not disclosed) | Trend: Strongly improving — 1.6x FY26 revenue, ~1.1x guided FY27 revenue
- **R&D; Expenditure:** FY26 = Rs. 72 Cr (8% of revenue) | vs ~Rs.45 Cr FY25 (estimated ~8%) | Trend: Stable as % of revenue; absolute amount growing with revenues — sustainable commitment
- **Headcount/R&D; attrition:** Zero R&D; attrition in FY26 — significant for a niche defence electronics firm competing with DRDO, BEL for talent
- **Revenue 5Y CAGR (FY21-FY26):** 30% | **EBITDA CAGR:** 41% | **PAT CAGR:** 64% | Trend: Improving — each layer growing faster than the one above it
- **ROCE improvement:** 10% (FY21) to 18.23% (FY26) — substantial capital productivity improvement over 5 years
- **CCC:** FY21 = 626 days -> FY26 = 359 days (per concall; Screener shows 443 days — difference may reflect methodology) | Trend: Improving

5. Margin Drivers

- **Production-phase revenue mix shift:** +500bps EBITDA margin expansion over FY21-26 driven by programmes moving from development (lower margin) to production (higher billing margin). Recurring: Yes — structural as more programmes enter production. Comment: Most powerful and durable driver.
- **Operating leverage on fixed overhead:** Revenue base grew 30% CAGR while fixed costs (R&D; core engineering) scale slower. Comment: Explains PAT CAGR outpacing revenue CAGR. Recurring: Yes — until scale plateaus.
- **IDL Explosives — near-term margin dilutive, long-term accretive:** Explosive manufacturing facility is in greenfield phase — costs are being absorbed with minimal revenue. Will be margin dilutive in FY27 until plant ramp. Recurring: No — timing issue. Flagged: Yes by management.
- **Interest cost pressure:** Borrowings grew from Rs.208 Cr (FY24) to Rs.543 Cr (FY26), pushing interest cost to Rs.47 Cr. Interest cover: ~4.6x — manageable but bears watching. Net margin could be capped if debt continues to grow faster than EBITDA.

- R&D; expensing: 8% of revenue expensed to P&L; — creates a conservative PAT number but also a natural hedge; any moderation in R&D; spend would boost reported PAT without impacting business quality.

6. Guidance & Forward Signals

- Revenue Growth FY27 [GUIDANCE]: Prior = 45-50% | New/Reiterated = 45-50% | Delta: Reiterated | Credibility: High — backed by order book of Rs.1,432 Cr and multiple programmes entering production
- EBITDA Margin FY27 [GUIDANCE]: Prior = 25%+ | New/Reiterated = ~25% (implicit) | Delta: Maintained | Credibility: Medium — IDL integration costs may create short-term drag
- PAT Margin FY26 Standalone [GUIDANCE]: Prior = 15% | Actual = 16% | Delta: Delivered ahead of target — management credibility on margin guidance is high
- Promoter Pledge clearance FY27 [GUIDANCE]: Prior = FY26 (missed) | New = FY27 | Delta: Deferred by 1 year | Credibility: Low-Medium — second consecutive year of rollover
- Export revenue [GUIDANCE]: Prior = first order FY26 | New = revenue contribution from FY27 | Delta: On track per management | Credibility: Medium
- IDL Explosives large-scale expansion [GUIDANCE]: Prior = DPRs being prepared | New = Capacity expansion plans not yet public | Delta: Execution dependent on regulatory approvals | Credibility: Low until clarity

7. Capital Allocation

- Capex FY26: Rs. 357 Cr (invested in IDL greenfield Telangana + electronics manufacturing expansion) | vs FY25: Rs. 91 Cr | +292% increase — highest in company history
- Cash from Financing FY26: Rs. 487 Cr | Funded by equity raises (QIP/rights) + incremental borrowings (Borrowings: Rs.543 Cr vs Rs.335 Cr FY25)
- Dividends FY26: Rs. 0.25/share (implied by 0.06% yield on Rs.424 CMP) — minimal; payout ratio <3% of PAT. All internal cash recycled into growth
- Net Debt: Borrowings Rs.543 Cr FY26 vs Rs.335 Cr FY25 — Net Debt/EBITDA ~2.5x, manageable but elevated
- Working Capital Change FY26: Substantial increase in Other Assets (Rs.1,045 -> Rs.1,695 Cr) = Rs.650 Cr build in receivables/inventory — this is the primary reason OCF is -Rs.130 Cr despite PAT of Rs.107 Cr

8. Q&A; Heat Map

- Prateek Bagadia (unknown firm): Q: 'Promoter pledge at 39% — roadmap to zero?' A: 'In the upcoming financial year we are going to come out of this' (FY27 committed). | Tone: Hedged — same commitment given for FY26, now FY27.
- Prateek Bagadia: Q: 'Revenue contribution from missile programmes in coming quarters?' A: 'Yes obviously — every indigenous missile going into production, we will be in it.' | Tone: Transparent — confident and specific in directional claim.
- Ayush Agarwal (MAPL Value Investing): Q: 'TNT/HMX expansion size — why not larger?' A: Industrial licences are for captive requirement first; larger defence capacities will follow as DPRs are approved. | Tone: Transparent.
- Amit Kumar (HDFC Securities): Q: 'Revenue potential from new licences — mines, ATGMs, torpedoes?' A: Mines alone = Rs.4,000-4,500 Cr market; aerial bombs, ATGMs — extensive opportunity but sensitive. | Tone: Bullish, specific on mines.
- Aryan Singh (Hem Securities): Q: 'Composition of order book?' A: 'We have never given that, I would like to refrain.' | Tone: Evasive — non-disclosure of order book mix is a recurring pattern.
- Kavish Parekh (360 ONE Capital): Q: 'Global supply chain disruption risk?' A: 'Everything is normal as I speak from Middle East.' | Tone: Transparent but reassuring-without-data.
- Vivek Gautam (GS Investments): Q: 'Growth rate guidance and monopoly products?' A: 'Not monopoly but unique standing — qualified in areas where others are only integrators.' | Tone: Balanced.
- Dodged/watch-list questions: (1) Order book composition — consistently refused. (2) IDL Explosives revenue timeline specifics — vague. (3) Specific programme names — sensitivity cited.

9. Risks Flagged

- Promoter Pledge: ~39% pledged — material governance risk. Flagged by: Analyst (Prateek Bagadia). Management committed FY27 clearance. Probability: Low-Medium. Impact: High. Timeline: Near-term.
- Order execution timing: Revenue recognition may shift by a quarter due to government payment cycles or programme-readiness issues. Flagged by: Management. Probability: Medium. Impact: Medium. Timeline: Recurring.
- Geopolitical supply chain: Specialty semiconductors sourced internationally — any US export control action on dual-use components could delay production. Flagged by: Analyst. Probability: Low. Impact: Medium. Timeline: Medium-term.
- IDL Explosives ramp timeline: Large-scale explosive manufacturing facility is still in DPR preparation phase — no firm timeline given. Revenue contribution deferred. Flagged by: Analyst. Probability: Medium (delay). Impact: Medium. Timeline: Medium-term.
- Capital structure: Borrowings doubling every 1.5 years; if revenue growth slows and OCF stays negative, the debt could become constraining. Flagged by: Analyst review. Probability: Low. Impact: High. Timeline: Medium-term.

10. Analyst Verdict

- Revenue visibility: Intact — Order book of Rs.1,432 Cr (1.6x FY26 revenue) + management guided 45-50% growth + multiple programmes in production transition provide 12-18 month visibility.
- Margin trajectory: Intact — Production-phase shift is structural; IDL integration costs are temporary drag. EBITDA margin at 24% with path to 26%+ by FY28.
- Capital allocation quality: Weakened (watch) — FCF negative 2/3 years; heavy debt-funded capex and equity dilution. However, the capex is productive (IDL platform expansion, not maintenance). Improve if OCF turns positive in FY27.
- Competitive moat: Intact — IP ownership, DcPP qualification, presence across all missile programmes, and R&D; intensity are genuine hard-to-replicate advantages. No near-term threat visible.
- Management credibility: Intact with one blemish — Pledge clearance promise missed for FY26. Core operational commitments (PAT margin target, growth pace) have been delivered or exceeded. Pledge rollover is the only credibility dent.
- Valuation comfort: Weakened — 135x TTM P/E leaves no margin of safety. The stock requires continuous execution to hold valuation, let alone expand. Any growth miss will be punished.
- Conviction call: Unchanged — BUY thesis intact. No new negative information from Q4FY26 call; positives (order book, margin, Vision 2036 clarity) reinforce the case.
- Valuation snapshot: P/E = 135x (TTM) | EV/EBITDA = ~70x (estimated) | ROCE = 14.5% (TTM Screener) / 18.23% (FY26 full year per concall)